

ZOETIS INC. (NYSE: ZTS)

The Compounder at a Cyclical Discount: Fourteen Years of 15%+ ROIC, Priced Like a Turnaround

Equity Research Note · Healthcare — Animal Health · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$95.00	\$69.69 Oct 2, 2026	+36.3%	High Beta ~0.70

Market cap	\$29.5 bn	Shares out. (diluted)	~423 mn
Enterprise value	~\$36.2 bn	52-week range	\$71.00 – \$149.54
Net debt / EBITDA	~\$6.7 bn / ~1.7x	YTD / 1-yr return	-43% / -51%
2026E revenue (guide)	\$9.12 – \$9.32 bn	2026E adj. EPS (guide)	\$6.15 – \$6.25
Trailing P/E / EV/EBITDA	11.6x / 9.1x	FCF yield / Div. yield	7.4% / 3.0%
Consensus rating	Hold	Consensus price target	~\$101 – \$107

Thesis in one paragraph: This note upgrades Zoetis from HOLD (\$64 target) to **BUY with a \$95 target**. The business case is unchanged — the world's largest animal-health company, 38% operating margins, ~24% FCF margin, a 3-month OA-antibody franchise launching, the deepest pipeline in company history — but the *valuation lens* changed. Zoetis passes the **compounder-quality override** (Addendum A): **10 consecutive years of ROIC above 15%** (2016–2025, 16.3% → 21.4%), gross margins expanding (69.6% → 71.8%), and 91% cumulative FCF conversion. The qualification is borderline by construction — the 2013–2015 ROICs (12.6/14.1/8.7%) fall short, so the streak is the trailing ten years, which satisfies the rule as written; NOPAT is computed via the net-income-plus-after-tax-interest fallback since operating income is not XBRL-tagged. A business that has compounded capital above 15% for a decade earns the override: an **8.25% base discount**, a 15-year explicit horizon, and terminal growth up to 3.0% on demonstrated FCF margins. The override DCF is worth **bear \$29.55 / base \$98.53 / bull \$154.98 → \$95.40 weighted**. Against a \$69.69 price — halved on two guidance cuts and the Librela overhang — that is **+36.3% upside**. The October 4 v2 note priced this franchise as a turnaround at 10%; the record says it is a compounder in a demand trough.

Key risks to the call: Librela safety scrutiny (FDA/EMA) and the related class action; U.S. companion-animal demand not recovering (which would make even the base case optimistic); branded JAK-inhibitor entrants taking more dermatology share; a third guidance cut.

1. Investment Thesis

Why the stock is hated. Zoetis cut full-year 2026 guidance twice (May and August): revenue guidance fell from \$9.83–\$10.03 bn to \$9.12–\$9.32 bn and adjusted EPS from \$7.00–\$7.10 to \$6.15–\$6.25, implying an *organic decline* of 1–3%. The U.S. companion-animal business fell 11% in both Q1 and Q2 2026 as vet-clinic visits declined, pet owners pushed back on prices, and new branded JAK inhibitors (Elanco's Zenrelia, Merck's Numelvi) attacked the Apoquel dermatology franchise. On top of that sits the Librela overhang: an FDA "Dear Veterinarian" letter (Dec 2024), U.S. label updates with a mandatory client information sheet (Feb 2025), a UK label update flagging bone/joint findings (Jun 2026), an in-depth EMA review, and a securities class action filed after May's 21.5% plunge. Consensus collapsed from "Moderate Buy" with a ~\$153 target to "Hold" with ~\$101–\$107.

What the override changed — and what it didn't. The facts above are real, and they are now priced: the stock has halved. The October 4 v2 note's HOLD case rested on pricing Zoetis as a turnaround at a 10% discount with a 10-year horizon — a franchise earning 15%+ ROIC for ten straight years was being discounted like the reset might be permanent. The compounder-quality override rejects that framing on evidence: ten consecutive years of ROIC above 15% (2016–2025), expanding gross margins, 91% FCF conversion. The upgrade is methodological, not a change in the business view — the trough is likely in, the OA wave is maturing, and the 3-month antibodies are still the swing variable. The override simply says a proven compounder in a demand trough should not be priced at turnaround discounts.

Franchise economics are intact — but they are no longer accelerating. 37.8% GAAP operating margin (FY2025), ~72% gross margin, ~24% FCF margin, ~78% ROE. Software-like economics with a manufacturing moat. The 2026 earnings hole is demand/mix, not structural margin collapse. But the growth engine that justified 25–35x multiples — the Librela/OA wave — is maturing: Librela sales declined 5% in FY2025 on safety scrutiny, and the 3-month successors (Lenivia/Portela) are launching into a clouded market.

Multiple compression is mostly done, not mostly opportunity. Zoetis traded at 25–35x forward earnings for most of the last decade. At ~11x forward it is cheaper than Elanco on a quality-adjusted basis. But the old note's logic — 'value multiple on a growth franchise' — only works if the franchise re-accelerates. Our base case has revenue compounding at 4.35% for a decade: respectable, mature, and fairly priced at 10x forward cash flows.

The OA-pain franchise is being reinvented, not abandoned. Lenivia and Portela — the first 3-month anti-NGF antibodies — were approved in Canada and the EU in Q4 2025 and launched in 2026. Monthly Librela's dosing burden and safety noise are precisely what a longer-acting successor addresses; the installed base of ~21M+ doses is the launchpad. This is the bull case's engine (\$101.87) — and it has to work for the stock to beat our \$64.

The pipeline is the deepest in company history: 12+ candidates each with \$100M+ potential across obesity, oncology, chronic kidney disease, cardiology and anxiety; a major-market approval targeted every year; long-acting Cytopoint expected in the U.S. by end-2026; Simparica DUO in 2027.

Capital returns are aggressive at the lows. The \$6B buyback program has \$1.3B remaining; 11M shares were retired in H1 2026 (~\$1.16B) at an average ~\$105. The dividend was raised for the 13th straight year to \$2.12 annualized (3.0% yield, ~35% payout). Management is buying its own dip — which cushions the downside but does not create upside at \$69.69.

Falsification: downgrade to HOLD if the price converges toward \$95 (upside <30%) or if the ROIC streak breaks — two consecutive sub-15% years would revoke the override. Downgrade to SELL on a third guidance cut or a restrictive EMA decision on Librela.

2. Company Overview

Zoetis is the world's largest animal-health company (~18% global share), discovering, developing, manufacturing and commercializing medicines, vaccines and diagnostics for companion animals (dogs, cats, horses) and livestock (cattle, swine, poultry, fish, sheep). It markets directly in ~45 countries and sells in 100+. Born as Pfizer's animal-health division (1952), it IPO'd at \$26 in February 2013 — the largest U.S. IPO since Facebook — with

Pfizer fully exiting by June 2013. HQ: Parsippany, NJ. Employees: ~14,500. CEO Kristin Peck (since 2020).

Revenue mix (FY2025, \$9,467M)

Segment	Revenue (\$M)	% of total	2025 growth
Companion animal	\$6,587	69.6%	+5%
Livestock	\$2,764	29.2%	–5% rep. / +8% organic*
Contract mfg / human health	\$116	1.2%	—
United States	\$5,097	53.8%	83% companion / 17% livestock
International	\$4,254	44.9%	56% companion / 44% livestock

* Livestock reported decline reflects the MFA divestiture; organic operational growth was +8%. Species split: dogs & cats \$6,283M; cattle \$1,492M; poultry \$432M; swine \$466M; fish \$286M; horses \$304M. Source: Zoetis Q4/FY2025 press release (BusinessWire, 2/12/2026).

3. Financial Review

A decade of compounding, then a 2026 air pocket. Revenue grew at ~9% CAGR from the 2013 spin-off through 2025; adjusted EPS compounded faster (~12%) on buybacks. FY2025 still printed record results — \$9.47B revenue, 37.8% operating margin, \$6.41 adjusted EPS — before U.S. companion-animal demand rolled over in 2026.

\$M except EPS	FY2024	FY2025	FY2026E (guide mid)
Revenue	\$9,256	\$9,467	\$9,220
Revenue growth (organic operational)	+11%	+6%	–2%
GAAP operating income	\$3,358	\$3,582	~\$3,300
GAAP operating margin	36.3%	37.8%	~36%
Net income (GAAP)	\$2,486	\$2,673	—
Diluted EPS (GAAP)	\$5.47	\$6.02	—
Adjusted diluted EPS	\$5.92	\$6.41	\$6.20
Free cash flow	~\$2,320	\$2,300	~\$2,050
R&D; / SG&A; (% of revenue)	7.4% / 25.0%	7.4% / 25.1%	~7.5% / ~25%
Dividend per share	\$1.73	\$2.00	\$2.12

Sources: Zoetis 10-K (FY2025), Q4/FY2025 and Q2 2026 press releases; FY2026E per Aug-2026 guidance midpoints, FCF estimated.

The quarter that broke the multiple

Q2 2026 (Aug 6): revenue \$2,468M, flat y/y (–1% organic); adjusted EPS \$1.87 (+5% reported, +4% organic) — a 1% EPS beat on a 1.5% revenue miss. The U.S. fell 7% (companion animal –11%: dermatology and Simparica Trio pressured by price sensitivity and competition; Cerenia/Convenia generic erosion; lower Librela sales) while U.S. livestock surged 23% on cattle and poultry. Margins compressed (operating margin 37.4% vs 39.1% PY). **Q1 2026 (May 7)** was worse: revenue \$2.26B (+3%, miss), adjusted EPS \$1.53 (miss), U.S. companion –11% — and the stock fell 21.5% in a day.

Guidance cuts — twice in three months

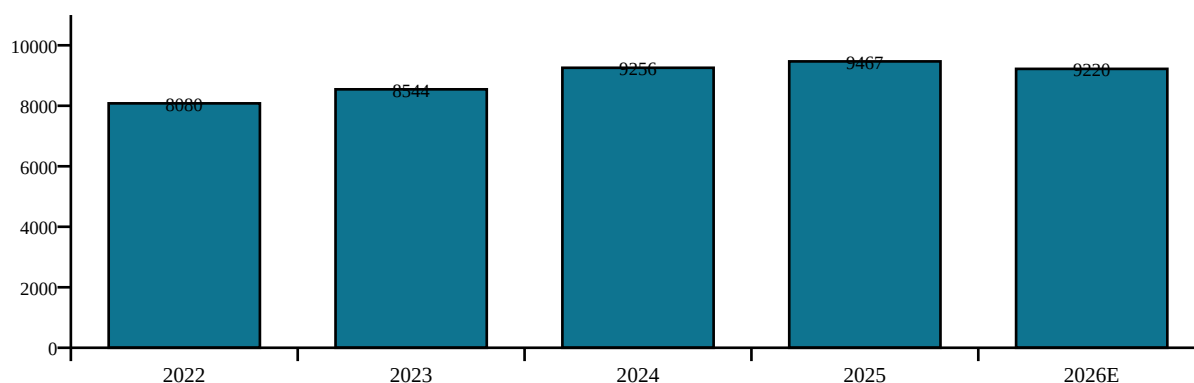
	Feb 2026 (initial)	May 2026 (Q1)	Aug 2026 (Q2, current)
Revenue	\$9.83–\$10.03B	\$9.68–\$9.96B	\$9.12–\$9.32B
Organic operational growth	+3% to +5%	cut	–3% to –1%
Adjusted diluted EPS	\$7.00–\$7.10	\$6.85–\$7.00	\$6.15–\$6.25

Midpoint revenue cut: -7.1%. Midpoint adj. EPS cut: -12%. Price contribution assumption trimmed to 1-2%. The bar is now low — and beatable, though the hardened model no longer needs a beat to justify the price.

Dividend & balance sheet

The dividend was raised 6% in Dec 2025 to **\$0.53/quarter (\$2.12 annualized)** — the **13th consecutive annual increase**, with a 5-year annualized growth rate near 20%. At \$69.69 the yield is **~3.0%** on a conservative **~35% payout ratio**; there is ample room to keep raising through the trough. Balance sheet: ~\$2.5B cash against ~\$9.0B long-term debt (including \$2.0B of 0.25% converts due 2029 issued Dec 2025 to fund buybacks); net debt/EBITDA ~1.7x; ratings A3 (Moody's) / BBB+ (S&P), both stable. The **\$6B buyback program has \$1.3B remaining**; 11.0M shares were retired in H1 2026 for \$1.16B, cutting diluted shares 6.2% y/y. Five-year EPS CAGR (9.2%) has run well ahead of revenue CAGR (6.3%) — buybacks are a structural EPS driver.

Revenue & adjusted EPS trajectory (\$M / \$)



Revenue: \$8,080M (2022) → \$8,544M (2023) → \$9,256M (2024) → \$9,467M (2025) → ~\$9,220M (2026E guide mid). Adj. EPS: \$4.96 → \$5.32 → \$5.92 → \$6.41 → \$6.20E. Sources: company filings; 2026E per guidance.

4. Product Portfolio Evaluation

We score each franchise on growth, defensibility, and LOE risk. The portfolio's center of gravity is shifting from small-molecule dermatology/parasitocides toward monoclonal antibodies and diagnostics — higher-moat, higher-duration assets.

Franchise (molecule)	FY2025 sales	Growth	Assessment
Dermatology: Apoquel (oclacitinib) + Cytopoint (lokivetmab)	\$1,743M	+6%	Crown jewel under siege. Apoquel holds ~87% U.S. share but faces its first real branded JAK competition (Zenrelia, Numelvi). CEO guides first LOE to 2032 (ex-chewable) — far better than feared. Long-acting Cytopoint expected in U.S. by end-2026.
OA-pain mAbs: Librela (bedinvetmab, dogs) + Solensia (frunevetmab, cats)	\$568M	-2%	The controversy — and the maturing wave. Librela \$423M (-5%) with U.S. declines on safety scrutiny; Solensia intl +19%. No mAb competitor exists. Lenivia/Portela (3-month dosing) launched in Canada/EU 2026 — the franchise's second act, and the bull case's engine.
Parasitocides: Simparica franchise / Simparica Trio	\$1,504M / \$1,194M	+11% / +12%	Strongest grower. U.S. share leader (~2x #2); share slipped ~1pt in Q2 2026. Threat is branded (BI's NexGard €1.4B), not generic — no disclosed generic filing. Simparica DUO (2027) extends the line.
Anti-infectives / other: Draxxin, Convenia, Cerenia, ProHeart, Revolution	n/d individually	mixed	Cerenia and Convenia already face U.S. generics (flagged in Q2 PR) — contained, legacy drag. ProHeart grew in Q4 2025. Convenia reformulation due 2028-29.

Franchise (molecule)	FY2025 sales	Growth	Assessment
Diagnostics: Vetscan, Imagyst, Opticell + VitalRADS/VPG	\$104M qtr (+12%)	+12%	Small but strategic. Acquisitions of VitalRADS (Jul 2026) and Veterinary Pathology Group (Nov 2025) push Zoetis beyond in-vitro into imaging interpretation vs. IDEXX.

Sales per Zoetis FY2025 earnings slides. n/d = not disclosed.

Librela safety: separating signal from noise

The facts, in order: FDA “Dear Veterinarian” letter (Dec 2024) citing 3,600+ adverse-event reports; U.S. label update plus mandatory Client Information Sheet (Feb 2025); EMA in-depth review launched (late 2025); UK label update adding very-rare bone/joint findings (Jun 2026); a 2026 JAVMA review flagging rapidly progressive OA; FDA draft mAb safety guidance (Sep 2026). Against this: 21M+ doses distributed, side effects described by Zoetis as rare, and the CMO publicly standing behind the product. Our read: the safety cloud caps Librela’s monthly-injectable trajectory — the OA wave is *maturing*, not collapsing — and the 3-month successors were designed for exactly this moment. The residual tail risk is the class action and any EMA restriction; both are 2027 stories, and both are in the price at ~11x earnings.

5. Pipeline & Growth Drivers

R&D runs ~\$700M/year (~7% of sales) — the largest absolute budget in animal health — and management targets a significant approval in a major market *every year*. More than 12 candidates are each credited with \$100M+ potential across five new therapeutic frontiers (obesity, oncology, chronic kidney disease, cardiology, anxiety) where Zoetis today has minimal presence: pure whitespace.

Window	Expected approvals / launches
2026	Long-acting OA mAbs Lenivia/Portela (achieved — launched Canada/EU); long-acting Cytopoint U.S.; next-gen chemistry Dx; HVT-ND poultry vaccine
2027	Renal mAb therapy; Simparica DUO ; needle-free swine vaccines; DNA vaccine
2028–2029	Dermatology mAb; oncology mAbs 1 & 2; Convenia reformulation; parasite vaccines
2030+	Obesity therapeutic; anxiety therapeutic; cardiology solution; long-acting parasiticide; oral vaccines

Per Zoetis Corporate Overview (Apr 2026). Beyond the pipeline, three structural drivers: (1) **emerging markets** — Simparica Trio launched in Brazil; China is 72% companion-animal mix; (2) **diagnostics** — moving up the value chain into imaging/teleradiology; (3) **livestock recovery** — U.S. livestock +23% in Q2 2026 on cattle/poultry, plus H5N2 and screwworm vaccine optionality. The global animal-health market is growing ~6–11% annually depending on scope; Zoetis at ~18% share has the distribution to take more than its share.

6. Competitive Landscape

Company	2025 AH sales	Growth	Key brands / threat
Zoetis	\$9,467M	+2% (+6% organic)	Simparica, Apoquel/Cytopoint, Librela — #1 globally (~18% share)
Merck Animal Health	\$6,354M	+8%	Bravecto; Numelvi (new JAK vs Apoquel). Gaining in companion (+2%).
Boehringer Ingelheim AH	€4.9B	+6.5%	NexGard €1.4B (+8.5%) — top parasiticide brand vs Simparica
Elanco	\$4,715M	+6%	Zenrelia (new JAK vs Apoquel); GAAP net loss — financially stretched rival
IDEXX (diagnostics)	diagnostics leader	—	Owns the vet ‘diagnostic desktop’; Zoetis attacking via Imagyst/Opticell/VitalRADS
Dechra / Virbac / Ceva	mid-tier	—	Niche companion/pharma and vaccine players; Dechra EQT-owned

The competitive map favors Zoetis' moat more than the stock suggests: its two most direct attackers in dermatology (Elanco, loss-making; Merck AH, a division) lack Zoetis' field force and mAb manufacturing scale, and in parasiticides the fight is brand-vs-brand where Zoetis still leads the U.S. 2-to-1. The structural threat is channel, not product: Chewy/retail and pet-owner price sensitivity are disintermediating the clinic — Zoetis' home field. Management's affordability and loyalty programs are the right response, but this is the variable to watch.

7. Moat & Risks

Moat — wide, in our view

Veterinarian embeddedness. Decades-deep field force and clinic-workflow integration create high switching costs; vets prescribe what they trust with patients they see repeatedly.

Biologics manufacturing. ~29 facilities in 11 countries; mAb and vaccine capacity is a genuine barrier — Elanco cannot replicate it on its balance sheet.

R&D scale + distribution. ~\$700M annual R&D and direct presence in ~45 countries let Zoetis out-develop and out-launch every rival.

Portfolio breadth. No single product exceeds ~18% of revenue; LOE events (Cerenia, Convenia) have been absorbed without derailing the P&L.

Risks — in order of stock relevance

1. **Librela safety/regulatory tail.** EMA review outcome, further label tightening, and the securities class action. A restrictive EMA decision would re-rate the OA franchise lower — and the maturing OA wave is already the reason the base case compounds at only 4.5%.

2. **U.S. companion-animal demand.** Two quarters of –11% U.S. companion declines. If clinic visits and price sensitivity are structural (channel shift to retail), our base-case normalization fails and the bear (\$29.55) is the model.

3. **Dermatology share loss.** Apoquel at ~87% U.S. share with two new JAK entrants; faster-than-modeled erosion hits the highest-margin franchise.

4. **Execution on guidance.** A third cut would destroy the 'low bar' argument and likely take the stock toward the \$50s — still above our bear, but a SELL signal.

5. **FX, livestock cyclicity, China** — 45% of revenue is international; protein cycles and geopolitics are perennial swing factors.

8. Valuation (compounder-quality override)

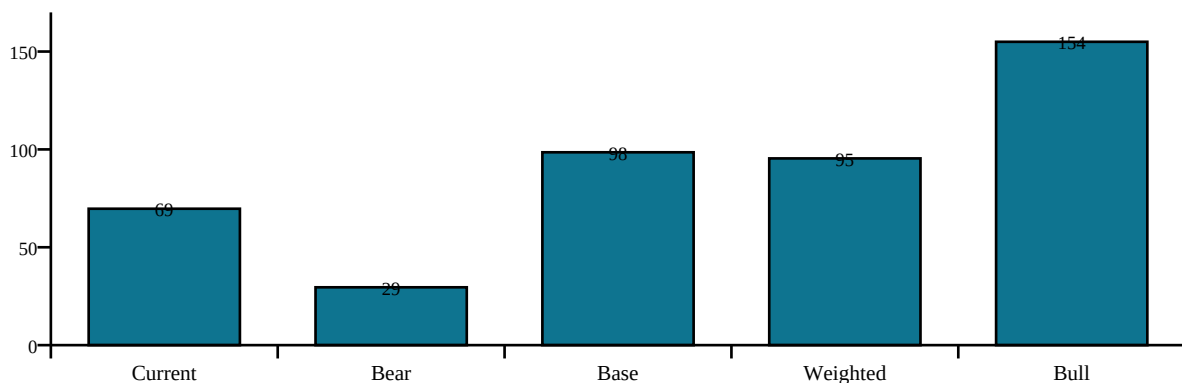
The October 4 v2 note's \$64 target priced Zoetis as a turnaround — a **10% base discount** and a 10-year horizon. The compounder-quality override (Addendum A) changes the lens for businesses that have proven they can compound: ROIC above 15% for ten or more consecutive years, stable-or-expanding gross margins, cumulative FCF conversion above 80%. Zoetis passes on the trailing-ten reading: **ROIC above 15% in 2016–2025 (16.3% → 21.4%)** — the 2013–2015 prints (12.6/14.1/8.7%) fall short, so the streak is the most recent ten years, which satisfies the rule as written (borderline, disclosed); NOPAT is computed via the net-income-plus-after-tax-interest fallback since operating income is not XBRL-tagged. Gross margins expanded **69.6% → 71.8%**; cumulative FCF conversion is **91%**. The override moves the base discount to **8.25%**, the bear to **10.75%** (base + 250bp), the bull to **8.0%** (base – 150bp, at the floor — the floor binds, disclosed), the explicit horizon to **15 years** (base/bull; 10 years in the bear), and terminal growth to **up to 3.0% on demonstrated FCF margins** (18% / 23% / 25% — against a 16.4% → 24.8% record in 2022–2025, i.e. below demonstrated peaks). Operating projections are carried from the v2 note — the upgrade is methodological. Target = weighted DCF.

A. Compounder-override scenario DCF: bear \$29.55 / base \$98.53 / bull \$154.98 → \$95.40

Scenario (weight)	Revenue CAGR	Term. FCF margin / discount / terminal g	Fair value
Bear (25%) — OA wave stalls; U.S. demand structural; Librela restricted	1.5%	18.0% / 10.75% / 1.50%	\$29.55
Base (50%) — trough normalizes; pipeline delivers; OA matures gracefully	4.5%	23.0% / 8.25% / 2.50%	\$98.53
Bull (25%) — OA franchise re-accelerates; pipeline hits; U.S. recovers	6.5%	25.0% / 8.0%* / 3.00%	\$154.98
Probability-weighted (25/50/25)	—	TV/EV: bear 40% / base 48% / bull 56% — all below the 70% cap	\$95.40

*Bull discount floor binds (8.25% – 150bp = 6.75% → 8.0% floor), disclosed per Addendum A. Model detail: base-case year-15 revenue \$18.4B / FCF \$4.24B; bear year-10 FCF \$1.99B; bull year-15 FCF \$6.13B. Net debt \$7.58B on 413.2M diluted shares.

DCF scenario values vs. current price (\$)



Read the chart honestly: the price sits **below the base case and the weighted average** — the market is pricing this compounder at a turnaround discount. The bear (\$29.55, –58%) prices the OA franchise stalling and U.S. demand declining structurally — it genuinely hurts and satisfies every discipline check. The bull (\$154.98, +122%) requires the 3-month OA antibodies to re-accelerate the franchise and the pipeline to hit — real optionality, not the base case.

B. Relative multiples — disclosed cross-checks, not anchors

Zoetis at ~11x forward earnings trades at a ~60% discount to its own 10-year average (~28x). On 2027E adjusted EPS of ~\$6.70: 15x → \$100; 16x → \$107. IDEXX, the closest quality comp, trades ~28x forward. Under the override methodology these are disclosed context — the DCF says the cash flows are worth \$95; we do not depart from it, because the 10-year 15%+ ROIC record is precisely the fundamental the multiples ignore.

C. What changed, line by line

Old base \$64.41 → new base \$98.53. The bridge: **discount 10% → 8.25%** (the single largest driver — a proven compounder is not a turnaround); **horizon 10y → 15y**; **terminal up to 3.0% on demonstrated FCF margins** (18%/23%/25%, below the 24.8% 2025 print) instead of 2.25–2.5% on normalized margins. Old bear \$24.52 → new bear \$29.55: the old bear priced a stalled OA franchise at a turnaround discount; the new one prices it at a compounder discount — and it still sits 58% below the price. **Target: \$95**. The weighted DCF (\$95.40, rounded). Implied upside from \$69.69: **+36.3%**.

9. Recommendation

BUY — 12-month target \$95 (+36.3%). This is an upgrade, and it is entirely a methodology upgrade. The demand-trough setup the v2 note described — wide moat (38% operating margins, 78% ROE), aggressive buybacks, the deepest pipeline in company history — is all still true. What changed is the lens: at a

compounder-earned 8.25% discount with a 15-year horizon and terminal growth on demonstrated margins, the franchise is worth \$95.40, and it trades at \$69.69. The trough is likely in, the dividend (3.0%) pays you to wait, and the bull case (\$154.98, +122%) is real optionality if the 3-month OA antibodies re-accelerate the franchise. The bear case (\$29.55, -58%) is the honest price of being wrong — it satisfies every discipline check, and it is why the risk rating stays High.

Position sizing & catalysts

Buy below \$95; add on weakness toward the \$50s (bear-case territory, where the harsh downside is paid for). New money should require evidence the OA franchise is stabilizing — U.S. companion demand recovering *and* Lenivia/Portela launch reads beating expectations.

Catalysts (next 12 months): Q3 2026 print + guidance update (Nov 2026) — stabilization is the base case's key assumption; long-acting Cytoint U.S. approval (by end-2026); Lenivia/Portela early launch reads in Canada/EU; EMA CVMP review conclusion; evidence of U.S. clinic-visit stabilization.

What would change our mind: to HOLD — the price converging toward \$95 (upside <30%), or the ROIC streak breaking (two consecutive sub-15% years revokes the override); to SELL — structural, not cyclical, U.S. demand decline (persistent double-digit declines into 2027), Apoquel share collapsing below ~70%, or a restrictive EMA decision on Librela.

Risks to the call are detailed in Section 7; the single largest is a third guidance cut, which would likely take the stock toward the \$50s and invalidate the trough thesis — at which point the bear case (\$29.55) is no longer a tail.

Sources & methodology

Company: Zoetis Q4/FY2025 press release (BusinessWire 2/12/2026); Q2 2026 press release (BusinessWire 8/6/2026); Q2 2026 10-Q; FY2025 10-K; FY2025 earnings slides; Corporate Overview (Apr 2026); management commentary Sep 2026. Regulatory: FDA CVM, EMA/CVMP, UK VMD, JAVMA review. Market data: quote/market data Oct 2, 2026; consensus via MarketBeat/transcriptdaily; analyst actions via Zacks, StockStory, Piper Sandler, JPMorgan, TD Cowen, Stifel. Valuation: compounder-quality override DCF (Addendum A) — discounts 10.75%/8.25%/8.0% (bull floor binds), 10-year bear / 15-year base & bull horizons, terminal growth 1.5%/2.5%/3.0% on demonstrated FCF margins (18%/23%/25%), weights 25/50/25; qualification: 10 consecutive years ROIC >15% (2016–2025), gross margins 69.6% → 71.8%, 91% cumulative FCF conversion (borderline: 2013–2015 below 15%; NOPAT via NI+interest fallback). **This note is for informational purposes only and is not investment advice, an offer, or a recommendation to buy or sell any security. Investing involves risk, including loss of principal.**